Business Case

In its 2025 round, the JSE's SME Capital Matching Initiative received more than 1,100 funding applications — close to six times the number of businesses it had ever placed with investors in a single round. I work at the JSE. This project was not commissioned; I took it on because that gap was going to repeat in every round that followed.

1. The situation

The SME Capital Matching Initiative is a JSE campaign that connects small and medium-sized enterprises with investors willing to provide capital for growth. Businesses apply through a public online form. The SME team — the small group inside the JSE that runs the campaign — reviews what comes in, and those judged suitable are introduced to funders.

The campaign has grown in every round it has run. The 2023 pilot matched **90 businesses** with funders. The 2024 round matched **190**. The round that opened in May 2025 attracted **more than 1,100 applications**.

That growth is the campaign working as intended. It is also the origin of the difficulty this project addresses.

2. The problem

Applications have grown faster than the initiative's capacity to act on them, and the consequence shows in two places.

The gap between applications received and businesses placed. Ninety matches in one round and one hundred and ninety in the next are creditable results. Set against more than eleven hundred applications, they indicate that most applicants will not be reached at all. The binding constraint is not investor appetite, and it is not the quality of the applicants — it is how many applications can be worked through in the time available.

The limits of reviewing at that volume. Eleven hundred applications is more than a small team can read closely, hold to a consistent standard, and finish inside a useful window. A review on that scale takes weeks, and consistency is difficult to maintain from the first application to the last. Two costs follow. Businesses that would genuinely interest a funder may never surface, because nothing brings them forward. And the initiative cannot readily explain why one applicant advanced and another did not — which matters to the applicant who asks, and to an investor who wants to know how a shortlist was arrived at.

Neither point reflects on the SME team. Both are what happens when a campaign succeeds faster than the means available to process it, and both will recur in every round unless the review itself changes.

3. The approach proposed

Only a limited number of businesses can be prepared, packaged and introduced to funders in any round — ninety in the first, one hundred and ninety in the second. Against more than eleven hundred applicants, the question is therefore not whether each application is accepted or declined. It is which businesses are seen first.

Answering that requires one standard, applied to every applicant in the same way. The proposal was to assess each business against the questions a funder asks of any business — is this a real and growing concern; is it trading, and will the funding create employment; is the amount requested proportionate to what the business earns; and what are its transformation credentials, meaning its B-BBEE standing and ownership profile, which many South African funders are required by mandate to weigh. The result is expressed as a single readiness score, so that every applicant can be placed in a clear order of priority and given a recommended action rather than a simple yes or no.

Two constraints shaped the design. The assessment draws only on information applicants have already submitted, so nothing further is asked of them and no business is penalised for a question the form itself failed to capture. And it is repeatable, so a future round can be assessed when its applications close rather than over the weeks that follow.

What the approach does not do is worth stating plainly. It measures readiness to be presented to a funder, not creditworthiness. It works with self-reported information that nothing independently verifies. It orders the pool and directs attention; the funding decision remains the funder's, and due diligence still follows.

The assessment was built, run against the 2025 round's applications, and handed to the SME team.

4. The intended outcome

The aim is to place as many suitable businesses in front of funders as possible, and as early as possible.

A shortlist available immediately. Rather than an undifferentiated pool, the team holds a ranked list and a defined group of businesses that can go to investors as they stand — available when applications close rather than weeks later, while the applicant's information is still current and the applicant still engaged.

More businesses funded. The measure of the campaign is not applications received but capital deployed. Surfacing the strongest applicants at once, and directing development effort at those who are nearly there, raises the number of matches a round can realistically achieve above what the two previous rounds recorded.

A position the team can defend. Every applicant is measured against the same standard, so the reason for a business's standing can be given plainly — to the applicant who asks why, or to an investor who asks how the shortlist was built. And applicants who fall short are no longer a rejection pile: each one has specific, named gaps that can be closed.

A stronger case for attracting investors. Once the pipeline can be described in numbers, it becomes something to recruit investors with. Prospective funders can be shown how large the pool is, how strong it is and what its transformation profile looks like before they commit — a far better proposition than an undifferentiated pile of a thousand applications. Each early match is also a reference story, drawing stronger applicants into the round that follows.

SME Capital Matching, Funding Readiness project. This document covers the business case only. The design of the assessment, its results, and the actions arising from them are documented separately.